

creditor has the right to repossess it according to the terms of your loan agreement.

With rare exception those agreements give the creditor the right to repossess without written notice if the account is delinquent. (Many states do require written notice.) Most people have heard stories of professional car repossessioners who sneak into the debtor's yard and pirate away the car. Indeed that does happen, and if a repossession order has been rendered, it is legal in most states.

More common is for a delinquent debtor to receive written notice that a creditor is taking action in court. Normally there is a legal waiting period (usually one month) during which you have the right to present your side, if there is a dispute. However, if a debtor ignores the notification and does not appear in court, the judgment award is automatic, and the creditor can and will repossess the assets.

I have received many an urgent phone call from a frantic homeowner whose house was about to be taken by foreclosure. Often I find out the day before the foreclosure hearing. It's usually too late then, unless the entire delinquent amount can be offered the lender. If a judgment has already been handed down, it may require the entire mortgage balance. Unfortunately, the lenders usually would have worked out a reasonable plan to avoid having to repossess the home, because of the expenses involved and the bad publicity that often accompanies such action. But once the legal process is started, it is difficult to abort.

Armed with a court order, a creditor can indeed come into a debtor's home to repossess an asset. If the collector is refused entry, on the next trip the repossessioner can simply bring a sheriff's deputy, who will order the debtor to comply. Failure to comply with the court order can result in arrest and additional expenses.

Most loan contracts contain clauses that allow the creditor to collect all costs associated with legal action or repossessions. You need to read any contracts you sign very carefully because the costs of such actions can be significant.